Business Environment & Ethics - Set 8

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Globalisation refers to
- A. Nationalisation of industries
- B. Integration of the domestic economy with the world economy
- C. Closing borders to trade
- D. Increased government control

2. Agriculture, forestry and fishing belong to the
- A. Secondary sector
- B. Tertiary sector
- C. Primary sector
- D. Quaternary sector

3. Which of the following is NOT a valid CSR expenditure?
- A. Rural development projects
- B. Tree plantation
- C. Contribution to a political party
- D. Health camps

4. Five Year Plans in India reflect the government's role as a
- A. Planner
- B. Consumer
- C. Competitor
- D. Shareholder only

5. The Competition Act, 2002 prohibits
- A. Honest competition
- B. Anti-competitive agreements and abuse of dominant position
- C. Fair pricing
- D. Product innovation

> **Case:** Foreign Capital and the Law: A foreign carmaker sets up a plant in India. In 1991 the government had allowed automatic approval for foreign equity up to 51 per cent in 34 high-priority industries. Later, the strict Foreign Exchange Regulation Act, 1973 (FERA) was replaced by a more liberal law aimed at facilitating external trade and payments.

6. A benefit of FDI to India is:
- A. Reduced production
- B. Fewer job opportunities
- C. Capital, technology and employment
- D. Lower foreign investment

> **Case:** Banking and Tax Reforms: After 1991, private banks were allowed to enter the sector, banking rules were relaxed on the recommendations of a high-level committee, customs duties were reduced and tax rates were simplified. Domestic firms found that imported goods became cheaper and competition increased.

7. The committee that recommended banking sector reforms in 1991 was the:
- A. Kelkar Committee
- B. Shah Committee
- C. Narasimham Committee
- D. Cadbury Committee

8. Resource allocation through the forces of demand and supply is a feature of the
- A. Socialist economy
- B. Command economy
- C. Subsistence economy
- D. Capitalist economy

9. The main difference between micro and macro environment is that

A. Micro factors are uncontrollable while macro factors are controllable
B. Micro factors affect a particular firm closely while macro factors affect all firms
C. Micro factors are global while macro factors are local
D. There is no difference

> **Case:** StreamNow, an OTT Platform: StreamNow is an online video streaming platform. New start-ups can enter the market with little capital. Viewers can also watch free videos on other websites or use cable TV. Film and series producers demand very high licensing fees for popular content, and subscribers can cancel and switch to another platform at any time.

10. The ease with which new start-ups can enter the market represents:

A. Bargaining power of buyers
B. Threat of substitutes
C. Threat of new entrants
D. Bargaining power of suppliers

11. Fiscal deficit is the excess of government's total expenditure over its total receipts excluding

A. Tax revenue
B. Interest payments
C. Grants
D. Borrowings

12. Disclosing a conflict of interest to the board reflects

A. Weakness
B. Poor judgement
C. Transparency and integrity
D. Disloyalty

13. The Goods and Services Tax (GST) was introduced in India from

A. 1 April 2015
B. 1 July 2017
C. 1 January 2019
D. 1 April 2014

14. Which of the following is a phase of the business cycle?

A. Recovery
B. Revolution
C. Reformation
D. Rationalisation

15. A firm funding afforestation and water conservation is performing CSR related to

A. Employee welfare only
B. Environmental sustainability
C. Advertising
D. Tax planning

16. The Central Consumer Protection Authority (CCPA) deals with

A. Stock market regulation
B. Unfair trade practices and false or misleading advertisements
C. Banking regulation
D. Tax collection

17. The Public Liability Insurance Act, 1991 provides for

A. Life insurance for employees
B. Crop insurance
C. Marine insurance
D. Immediate relief to victims of accidents involving hazardous substances

18. Under the Consumer Protection Act, a consumer is a person who

A. Buys goods only for resale
B. Buys goods for commercial purposes
C. Sells goods
D. Buys goods or avails services for consideration for personal use

> **Case:** TechNova Industrial Park: A state government sets up an industrial park offering land at subsidised rates, assured power supply and a five-year tax holiday to new firms. It also enforces strict pollution norms on all units in the park. The park's water supply is run by a state-owned corporation, while most factories are privately owned.

19. The coexistence of state-owned and private firms in the park is characteristic of a:

A. Pure capitalist economy
B. Pure socialist economy
C. Mixed economy
D. Traditional economy

> **Case:** Meridian Infotech: A Fraud Revealed: The chairman of Meridian Infotech admits that for years the company's profits were inflated and bank balances were falsified in its accounts. The case resembles the Satyam scandal of 2009. Investors lose heavily, and regulators tighten rules on boards and auditors.

20. Such scandals led to stronger emphasis on:

A. Corporate governance and board accountability
B. Reducing disclosure
C. Abolishing audits
D. Allowing more related-party deals secretly

> **Case:** InfoServe BPO, Bengaluru: InfoServe, a Bengaluru firm, handles customer support for American clients at a lower cost, using skilled English-speaking staff. India's services exports have grown rapidly since the 1990s, helped by the WTO's rules-based trading system, which India joined as a founding member. However, InfoServe depends heavily on demand from foreign clients.

21. InfoServe's business is a typical example of:

A. Import substitution
B. Nationalisation
C. Globalisation of services
D. Licence Raj

22. A cartel is a group of firms that

A. Compete freely
B. Agree to fix prices or limit output
C. Sell only to the government
D. Merge into one firm

23. The "polluter pays" principle holds that

A. The government pays
B. Consumers pay
C. The party causing pollution should bear the cost of damage
D. Nobody pays

24. The three-tier redressal system under the Consumer Protection Act consists of

A. Panchayat, Block and District
B. Municipal, State and Central
C. District, State and National Commissions
D. High Court, Supreme Court and Parliament

> **Case:** A Listed Company's Disclosures: A listed company regularly publishes its quarterly results, executive pay and related-party transactions, and explains major decisions to investors. Analysts say this has raised investor confidence. The disclosures follow the listing rules framed by the securities regulator.

25. A key benefit of such disclosure is:

A. Higher secrecy
B. Lower accountability
C. Greater trust of investors
D. Zero regulation

26. The fair trade movement aims to

A. Give producers in developing countries a fair price
B. Raise import duties
C. Ban exports
D. Remove all labour laws

27. Selling below cost to eliminate competitors is called

A. Predatory pricing
B. Penetration pricing
C. Fair pricing
D. Value pricing

28. The composition of the Board of Directors and top management is part of a firm's

A. Macro environment
B. Natural environment
C. Internal environment
D. Global environment

29. Ethics training in organisations mainly helps in

A. Building an ethical culture
B. Raising share prices directly
C. Avoiding all taxes
D. Replacing laws

> **Case:** SafeBrake's Defective Batch: A quality inspector at SafeBrake Ltd finds that a batch of brake parts is defective. His manager tells him to ship the batch anyway to meet a deadline. The inspector reports the matter through the company's vigil mechanism and the batch is stopped.

30. The manager's instruction violates the principles of:

A. Honesty and concern for customer safety
B. Fair taxation
C. Community engagement
D. Shareholder profit only

31. The system by which a society decides what, how and for whom to produce is called an

A. Political system
B. Legal system
C. Economic system
D. Social system

> **Case:** Response to an Economic Slowdown: During a slowdown, the government raises spending on roads and cuts income tax. At the same time, the central bank reduces the repo rate and the Cash Reserve Ratio. Analysts say borrowing will become cheaper, but warn that if demand overshoots supply, prices could rise.

32. The analysts' warning refers to the risk of:

A. Deflation
B. Inflation
C. Disinvestment
D. Devaluation

> **Case:** StreamNow, an OTT Platform: StreamNow is an online video streaming platform. New start-ups can enter the market with little capital. Viewers can also watch free videos on other websites or use cable TV. Film and series producers demand very high licensing fees for popular content, and subscribers can cancel and switch to another platform at any time.

33. Subscribers cancelling and switching platforms freely reflects the:

A. Bargaining power of suppliers
B. Bargaining power of buyers
C. Threat of new entrants
D. Industry-wide inflation

> **Case:** Stake Sale and Foreign Investment: The government sold 20 per cent of its stake in a public sector bank to institutional investors. In the same year, a foreign company invested Rs. 500 crore to set up a factory in India and took management control of it. Officials said the investment would bring capital, technology and jobs.

34. The foreign company's investment to set up and control a factory is:

A. Foreign Direct Investment (FDI)
B. Portfolio investment only
C. A foreign loan to the government
D. Tourist spending

35. The Industries (Development and Regulation) Act, 1951 provided for

A. Control of foreign exchange

B. Consumer protection
C. Regulation of stock exchanges
D. Industrial licensing and regulation

> **Case:** FreshBite Foods: FreshBite Foods, a start-up selling packaged snacks, tracks competitor launches, changing consumer tastes, food-safety rules and raw material prices every month before deciding on new products. Last quarter this tracking helped it launch a millet-based snack just before health-conscious demand surged, while a larger rival that ignored the trend lost sales.

36. FreshBite's monthly tracking of its surroundings is called:
A. Cost auditing
B. Budgetary control
C. Environmental scanning
D. Diversification

37. Under Section 177 of the Companies Act, 2013, specified companies must establish a
A. Sports club
B. Vigil mechanism to report genuine concerns
C. Pension fund
D. Staff canteen

> **Case:** UrbanThread Fashion: UrbanThread, a clothing retailer, is reviewing its environment. A new law has raised minimum wages for garment workers. High inflation is reducing customers' spending on non-essential items. Activists criticise the industry for textile waste and demand recycling. Younger buyers increasingly prefer sustainable, ethically made clothing.

38. Young buyers' preference for sustainable clothing is a:
A. Legal factor
B. Economic factor
C. Social factor
D. Political factor

39. Employees have the right to work free from
A. Competition
B. Training
C. Harassment and discrimination
D. Promotion

40. A key benefit of community engagement for a firm is
A. Immunity from law
B. Zero costs
C. Monopoly power
D. Goodwill and social acceptance

> **Case:** Rahul's Shopping List: Rahul buys a pressure cooker, a jar of honey and a gold necklace. He looks for quality marks on each: a mark from the national standards body on the cooker, a mark for agricultural produce on the honey, and a hallmark on the necklace.

41. Such quality marks mainly support the consumer's right to:
A. Hoard goods
B. Safety and to be informed
C. Avoid payment
D. Fix prices

42. In the 2017 Puttaswamy case, the Supreme Court of India held that the right to privacy is
A. A fundamental right
B. Not a right
C. A purely statutory right
D. Only a corporate right

43. India faced a severe balance of payments crisis in
A. 1971
B. 1991
C. 2001
D. 1981

44. A multinational corporation is a company that
A. Operates only in one state
B. Is owned by the government
C. Operates in several countries
D. Does not trade

45. Disinvestment of PSUs in India is handled by the
A. Ministry of Labour
B. Ministry of Railways
C. NABARD
D. Department of Investment and Public Asset Management (DIPAM)

> **Case:** MegaPower's Coal Plant: MegaPower Ltd plans a coal-fired power plant near a forest. Before starting, it must carry out a study of the project's likely effects on air, water and wildlife, hold a public hearing and obtain clearance from the central environment ministry. Environmentalists argue the project must meet present energy needs without harming future generations.

46. The environmentalists' argument reflects the idea of:
A. Economic nationalism
B. Import substitution
C. Profit maximisation at any cost
D. Sustainable development

47. The example set by senior management on ethical behaviour is known as the
A. Span of control
B. Tone at the top
C. Chain of command
D. Unity of command

48. Selling fake goods under a well-known brand name violates the
A. Factories Act
B. Trade Marks Act, 1999
C. Payment of Wages Act
D. Sale of Goods Act

49. The Information Technology Act, 2000 mainly deals with
A. Income tax
B. Excise duty
C. Banking regulation
D. Electronic transactions and cyber crime

50. Air India, a public sector airline, was handed over to the private ownership of the ___ in 2022.
A. Reliance Group
B. Adani Group
C. Tata Group
D. Mahindra Group

Answer key - Set 8

1. **B**	11. **D**	21. **C**	31. **C**	41. **B**
2. **C**	12. **C**	22. **B**	32. **B**	42. **A**
3. **C**	13. **B**	23. **C**	33. **B**	43. **B**
4. **A**	14. **A**	24. **C**	34. **A**	44. **C**
5. **B**	15. **B**	25. **C**	35. **D**	45. **D**
6. **C**	16. **B**	26. **A**	36. **C**	46. **D**
7. **C**	17. **D**	27. **A**	37. **B**	47. **B**
8. **D**	18. **D**	28. **C**	38. **C**	48. **B**
9. **B**	19. **C**	29. **A**	39. **C**	49. **D**
10. **C**	20. **A**	30. **A**	40. **D**	50. **C**

Answers with explanations

1. Globalisation refers to

Answer: B. Integration of the domestic economy with the world economy

Why correct: Globalisation integrates the domestic economy with the world.

A is wrong: Nationalisation is state takeover.

C is wrong: Closing borders is the opposite.

D is wrong: More control is the opposite.

2. Agriculture, forestry and fishing belong to the

Answer: C. Primary sector

Why correct: Agriculture, forestry and fishing are the primary sector.

A is wrong: Secondary is manufacturing.

B is wrong: Tertiary is services.

D is wrong: Quaternary is knowledge-based services.

3. Which of the following is NOT a valid CSR expenditure?

Answer: C. Contribution to a political party

Why correct: Contributions to political parties are not valid CSR spending.

A is wrong: Rural development is valid.

B is wrong: Tree plantation is valid.

D is wrong: Health camps are valid.

4. Five Year Plans in India reflect the government's role as a

Answer: A. Planner

Why correct: Five Year Plans show the government planning the economy.

B is wrong: A consumer buys goods.

C is wrong: A competitor sells in the market.

D is wrong: A shareholder only holds shares.

5. The Competition Act, 2002 prohibits

Answer: B. Anti-competitive agreements and abuse of dominant position

Why correct: The Act prohibits anti-competitive agreements and abuse of dominance.

A is wrong: Honest competition is allowed.

C is wrong: Fair pricing is allowed.

D is wrong: Innovation is allowed.

6. A benefit of FDI to India is:

Answer: C. Capital, technology and employment

Why correct: FDI brings capital, technology and employment.

A is wrong: It raises production.

B is wrong: It creates jobs.

D is wrong: It raises, not lowers, investment.

7. The committee that recommended banking sector reforms in 1991 was the:

Answer: C. Narasimham Committee

Why correct: The Narasimham Committee recommended banking reforms in 1991.

A is wrong: The Kelkar Committee dealt with tax.

B is wrong: The Shah Committee dealt with tax reforms.

D is wrong: The Cadbury Committee dealt with UK governance.

8. Resource allocation through the forces of demand and supply is a feature of the

Answer: D. Capitalist economy

Why correct: Demand and supply allocate resources in a capitalist (market) economy.

A is wrong: Socialist economies plan allocation.

B is wrong: Command economies are centrally planned.

C is wrong: Subsistence economies produce for their own use.

9. The main difference between micro and macro environment is that

Answer: B. Micro factors affect a particular firm closely while macro factors affect all firms

Why correct: Micro factors affect a firm closely; macro factors affect all firms.

A is wrong: Both are largely uncontrollable by one firm.

C is wrong: Micro is not global.

D is wrong: There is a clear difference.

10. The ease with which new start-ups can enter the market represents:

Answer: C. Threat of new entrants

Why correct: Easy entry by start-ups is the threat of new entrants.

A is wrong: Buyer power concerns customers.

B is wrong: Substitutes are different products.

D is wrong: Supplier power concerns input providers.

11. Fiscal deficit is the excess of government's total expenditure over its total receipts excluding

Answer: D. Borrowings

Why correct: Fiscal deficit = total expenditure minus total receipts excluding borrowings.

A is wrong: Tax revenue is a receipt.

B is wrong: Interest payments are expenditure.

C is wrong: Grants are receipts.

12. Disclosing a conflict of interest to the board reflects

Answer: C. Transparency and integrity

Why correct: Disclosing a conflict of interest shows transparency and integrity.

A is wrong: It is not weakness.

B is wrong: It is good judgement.

D is wrong: It is loyalty to the firm.

13. The Goods and Services Tax (GST) was introduced in India from

Answer: B. 1 July 2017

Why correct: GST began on 1 July 2017.

A is wrong: 2015 is wrong.

C is wrong: 2019 is wrong.

D is wrong: 2014 is wrong.

14. Which of the following is a phase of the business cycle?

Answer: A. Recovery

Why correct: Recovery is a phase of the business cycle.

B is wrong: Revolution is not a phase.

C is wrong: Reformation is not a phase.

D is wrong: Rationalisation is not a phase.

15. A firm funding afforestation and water conservation is performing CSR related to

Answer: B. Environmental sustainability

Why correct: Afforestation and water conservation relate to environmental sustainability.

A is wrong: Employee welfare is different.

C is wrong: Advertising is promotion.

D is wrong: Tax planning is finance.

16. The Central Consumer Protection Authority (CCPA) deals with

Answer: B. Unfair trade practices and false or misleading advertisements

Why correct: The CCPA deals with unfair trade practices and misleading advertisements.

A is wrong: Stock market is SEBI's.

C is wrong: Banking is RBI's.

D is wrong: Tax collection is the tax department's.

17. The Public Liability Insurance Act, 1991 provides for

Answer: D. Immediate relief to victims of accidents involving hazardous substances

Why correct: The Public Liability Insurance Act gives immediate relief to victims of hazardous accidents.

A is wrong: It is not life insurance.

B is wrong: It is not crop insurance.

C is wrong: It is not marine insurance.

18. Under the Consumer Protection Act, a consumer is a person who

Answer: D. Buys goods or avails services for consideration for personal use

Why correct: A consumer buys goods or services for consideration for personal use.

A is wrong: Buying for resale is commercial.

B is wrong: Commercial purpose is excluded.

C is wrong: A seller is not a consumer.

19. The coexistence of state-owned and private firms in the park is characteristic of a:

Answer: C. Mixed economy

Why correct: State and private firms together mark a mixed economy.

A is wrong: Pure capitalism has no state firms.

B is wrong: Pure socialism has no private firms.

D is wrong: Traditional economies follow custom.

20. Such scandals led to stronger emphasis on:

Answer: A. Corporate governance and board accountability

Why correct: Scandals led to stronger corporate governance and board accountability.

B is wrong: Less disclosure is the opposite.

C is wrong: Audits were strengthened, not abolished.

D is wrong: Secret related-party deals were restricted.

21. InfoServe's business is a typical example of:

Answer: C. Globalisation of services

Why correct: Serving foreign clients from India is globalisation of services.

A is wrong: Import substitution is domestic production of imports.

B is wrong: Nationalisation is state takeover.

D is wrong: Licence Raj is old control.

22. A cartel is a group of firms that

Answer: B. Agree to fix prices or limit output

Why correct: A cartel is firms agreeing to fix prices or limit output.

A is wrong: Free competition is the opposite.

C is wrong: Selling only to government is not a cartel.

D is wrong: Merging is a combination.

23. The "polluter pays" principle holds that

Answer: C. The party causing pollution should bear the cost of damage

Why correct: Polluter pays: the party causing pollution bears the damage cost.

A is wrong: The government does not pay.

B is wrong: Consumers do not pay for the polluter.

D is wrong: Someone must pay.

24. The three-tier redressal system under the Consumer Protection Act consists of

Answer: C. District, State and National Commissions

Why correct: The three tiers are District, State and National Commissions.

A is wrong: Panchayat tiers are local government.

B is wrong: Municipal tiers are local government.

D is wrong: High Court and Supreme Court are not consumer tiers.

25. A key benefit of such disclosure is:

Answer: C. Greater trust of investors

Why correct: Disclosure builds investor trust.

A is wrong: It lowers secrecy.

B is wrong: It raises accountability.

D is wrong: Regulation still applies.

26. The fair trade movement aims to

Answer: A. Give producers in developing countries a fair price

Why correct: Fair trade gives producers in developing countries a fair price.

B is wrong: It does not raise duties.

C is wrong: It does not ban exports.

D is wrong: It does not remove labour laws.

27. Selling below cost to eliminate competitors is called

Answer: A. Predatory pricing

Why correct: Selling below cost to kill competitors is predatory pricing.

B is wrong: Penetration pricing is low entry pricing without that intent.

C is wrong: Fair pricing is reasonable.

D is wrong: Value pricing is fair value.

28. The composition of the Board of Directors and top management is part of a firm's

Answer: C. Internal environment

Why correct: Board composition is inside the firm.

A is wrong: Macro is external.

B is wrong: Natural is external.

D is wrong: Global is external.

29. Ethics training in organisations mainly helps in

Answer: A. Building an ethical culture

Why correct: Ethics training builds an ethical culture.

B is wrong: It does not directly raise share prices.

C is wrong: It does not avoid taxes.

D is wrong: It does not replace laws.

30. The manager's instruction violates the principles of:

Answer: A. Honesty and concern for customer safety

Why correct: Shipping known defective brakes violates honesty and concern for customer safety.

B is wrong: Taxation is not the issue.

C is wrong: Community engagement is not the issue.

D is wrong: Shareholder profit alone is not the principle.

31. The system by which a society decides what, how and for whom to produce is called an

Answer: C. Economic system

Why correct: The economic system is how a society decides what, how and for whom to produce.

A is wrong: A political system governs power.

B is wrong: A legal system is the body of laws.

D is wrong: A social system is the social structure.

32. The analysts' warning refers to the risk of:

Answer: B. Inflation

Why correct: If demand exceeds supply, prices rise - the risk is inflation.

A is wrong: Deflation is falling prices.

C is wrong: Disinvestment is selling stakes.

D is wrong: Devaluation is a currency matter.

33. Subscribers cancelling and switching platforms freely reflects the:

Answer: B. Bargaining power of buyers

Why correct: Subscribers switching freely shows buyer power.

A is wrong: Suppliers are producers.

C is wrong: New entrants are new firms.

D is wrong: Inflation is not the issue.

34. The foreign company's investment to set up and control a factory is:

Answer: A. Foreign Direct Investment (FDI)

Why correct: Investing to set up and control a factory is FDI.

B is wrong: Portfolio investment has no control.

C is wrong: A loan is not equity investment.

D is wrong: Tourist spending is not investment.

35. The Industries (Development and Regulation) Act, 1951 provided for

Answer: D. Industrial licensing and regulation

Why correct: The IDR Act, 1951 provided for industrial licensing and regulation.

A is wrong: Foreign exchange control was FERA.

B is wrong: Consumer protection was a later Act.

C is wrong: Stock exchanges are regulated by the SCRA.

36. FreshBite's monthly tracking of its surroundings is called:

Answer: C. Environmental scanning

Why correct: Monthly tracking of the surroundings is environmental scanning.

A is wrong: Cost auditing checks costs.

B is wrong: Budgetary control compares plan and actual.

D is wrong: Diversification adds products.

37. Under Section 177 of the Companies Act, 2013, specified companies must establish a

Answer: B. Vigil mechanism to report genuine concerns

Why correct: Section 177 requires a vigil mechanism for reporting genuine concerns.

A is wrong: A sports club is not required.

C is wrong: A pension fund is not required.

D is wrong: A canteen is not required.

38. Young buyers' preference for sustainable clothing is a:

Answer: C. Social factor

Why correct: Buyers' preference for sustainable clothing is a social trend.

A is wrong: It is not a law.

B is wrong: It is not economic.

D is wrong: It is not political.

39. Employees have the right to work free from

Answer: C. Harassment and discrimination

Why correct: Employees have the right to work free from harassment and discrimination.

A is wrong: Competition is not a right.

B is wrong: Training is a benefit, not freedom from.

D is wrong: Promotion is a benefit.

40. A key benefit of community engagement for a firm is

Answer: D. Goodwill and social acceptance

Why correct: Community engagement builds goodwill and social acceptance.

A is wrong: It gives no immunity from law.

B is wrong: It has costs.

C is wrong: It does not give a monopoly.

41. Such quality marks mainly support the consumer's right to:

Answer: B. Safety and to be informed

Why correct: Quality marks support the rights to safety and to be informed.

A is wrong: No right to hoard exists.

C is wrong: No right to avoid payment exists.

D is wrong: No right to fix prices exists.

42. In the 2017 Puttaswamy case, the Supreme Court of India held that the right to privacy is

Answer: A. A fundamental right

Why correct: In Puttaswamy (2017) the Supreme Court held privacy a fundamental right.

B is wrong: It is a right.

C is wrong: It is more than statutory.

D is wrong: It is not only corporate.

43. India faced a severe balance of payments crisis in

Answer: B. 1991

Why correct: India faced a severe balance of payments crisis in 1991.

A is wrong: 1971 is wrong.

C is wrong: 2001 is wrong.

D is wrong: 1981 is wrong.

44. A multinational corporation is a company that

Answer: C. Operates in several countries

Why correct: A multinational operates in several countries.

A is wrong: One state is a local firm.

B is wrong: It need not be government owned.

D is wrong: It does trade.

45. Disinvestment of PSUs in India is handled by the

Answer: D. Department of Investment and Public Asset Management (DIPAM)

Why correct: DIPAM manages disinvestment.

A is wrong: Labour ministry is unrelated.

B is wrong: Railways ministry is unrelated.

C is wrong: NABARD is a rural bank.

46. The environmentalists' argument reflects the idea of:

Answer: D. Sustainable development

Why correct: Meeting present needs without harming future generations is sustainable development.

A is wrong: Economic nationalism is unrelated.

B is wrong: Import substitution is a trade strategy.

C is wrong: Profit at any cost is the opposite.

47. The example set by senior management on ethical behaviour is known as the

Answer: B. Tone at the top

Why correct: Senior management's example is the 'tone at the top'.

A is wrong: Span of control is number of subordinates.

C is wrong: Chain of command is hierarchy.

D is wrong: Unity of command is one boss.

48. Selling fake goods under a well-known brand name violates the

Answer: B. Trade Marks Act, 1999

Why correct: Fake goods under a known brand violate the Trade Marks Act, 1999.

A is wrong: Factories Act is irrelevant.

C is wrong: Payment of Wages Act is irrelevant.

D is wrong: Sale of Goods Act is about contracts.

49. The Information Technology Act, 2000 mainly deals with

Answer: D. Electronic transactions and cyber crime

Why correct: The IT Act, 2000 deals with electronic transactions and cyber crime.

A is wrong: Income tax has its own Act.

B is wrong: Excise duty has its own law.

C is wrong: Banking is regulated under banking laws.

50. Air India, a public sector airline, was handed over to the private ownership of the ___ in 2022.

Answer: C. Tata Group

Why correct: Air India went to the Tata Group in 2022.

A is wrong: Reliance did not buy it.

B is wrong: Adani did not buy it.

D is wrong: Mahindra did not buy it.